INITIAL DRAFT MEMORANDUM

The Link at Twin Creeks

366-Unit Class A Multifamily

Allen, Texas

March 2026

Confidential

EXECUTIVE SUMMARY

Forest Way Capital is evaluating a senior whole loan investment in The Link at Twin Creeks, a 366-unit, 2021-vintage Class A multifamily asset located in Allen, Texas, one of the highest-growth submarkets in the Dallas-Fort Worth metroplex. The proposed $76.0 million loan (89.4% LTV)[1] represents an opportunity to finance institutional-quality basis in an anticipated supply-constrained environment—where historic absorption of over 1,700 units annually is set against a forward pipeline that has declined 87% to just 325 units—at a 17.1% discount to 2023+ comparable transactions and a 25%+ discount to replacement cost of approximately $275,000 per unit. Notably, the FWC senior loan basis of $76.0 million is approximately $28 million less than the sponsors' original 2022 acquisition cost and roughly $25 million below estimated replacement cost on a total-dollar basis. The investment thesis centers on four pillars: an 87% decline in the forward construction pipeline providing a near-term supply cliff, embedded rent reversion of 11.4% through the burn-off of concessions and below-market leases, attractive basis protection at $207,715 per unit versus a $251,000 comparable average, and a clear path to 6.0% debt yield recovery achievable by month 18 through rent stabilization alone without requiring market rent growth. The underwritten base case projects a 15.30% IRR and 1.47x net multiple over a 36-month hold period.

[1] LTV calculated as $76,023,773 loan amount divided by $85,000,000 Broker Opinion of Value (BOV) = 89.4%.

TRANSACTION OVERVIEW

Deal Parameters

Loan Amount	$76,023,773	**Prior Sale (2022)**	$104,000,000
Current Valuation	$85,000,000[2]	**Prior $/Unit**	$284,153
Implied LTV	89.4%	**Loan $/Unit**	$207,715
Implied Debt Yield	5.4%	**Discount to Prior**	26.9%
Units	366	**Property Class**	A
Rentable SF	350,628	**Management**	Greystar
Avg Unit Size	959 SF	**Location**	Allen, TX (DFW)
Year Built	2021	**Acquisition Date**	Feb 2026

Proposed Sources & Uses

Sources	% of Total	$/Unit	Total
Senior Loan	67%	$207,715	$76,023,773
Additional Equity	4%	$10,929	$4,000,000
Existing Equity	30%	$91,530	$33,500,000
Total Sources	**100%**	**$310,174**	**$113,523,773**

Uses	% of Total	$/Unit	Total
Lender Payback	68%	$211,749	$77,500,000
Existing Equity	30%	$91,530	$33,500,000
Closing Costs	0%	$1,039	$380,119
Origination Fee	1%	$2,077	$760,238
Broker Fee	1%	$2,077	$760,238
Interest Reserve	1%	$1,703	$623,179
Total Uses	**100%**	**$310,174**	**$113,523,773**

[2] Current valuation based on a Broker Opinion of Value (BOV) provided by Walker & Dunlop, dated February 2026.

INVESTMENT THESIS

1. Supply Cliff

The Allen submarket has experienced an unprecedented supply wave, with 2,522 units delivered across the trailing eight quarters. However, the forward pipeline has declined 87% to just 325 units currently under construction, with zero additional units proposed. This dramatic contraction in new supply creates favorable conditions for occupancy recovery and rent stabilization across the submarket. The current 6.60% subject vacancy is expected to compress as the remaining pipeline units are absorbed with minimal competitive pressure beyond mid-2026. While effective rents across the submarket have remained flat as the market digested elevated deliveries, improving absorption and the absence of new supply are expected to facilitate Loss-to-Lease burn-off and support renewed rental rate growth.

The Property also benefits from its highly desirable location in the northern Dallas-Fort Worth Metroplex, with direct access to major employment corridors and proximity to award-winning public schools. These factors have historically supported strong renter demand and are expected to continue driving household formation and tenant retention within the submarket.

2. Rent Reversion

The property currently has 331 of 342 occupied units leased below market, with an average loss-to-lease of $218 per unit or 11.4%. The heaviest lease rollover concentration occurs between June and July 2026, providing a near-term catalyst for rent reversion. With 335 leases rolling in the next 15 months, the property is well-positioned to capture embedded upside through mark-to-market renewals without reliance on broader market rent growth. The weighted average in-place rent of $1,692 per unit compares favorably to the $1,909 market average, representing meaningful embedded upside.

3. Basis Protection

The loan basis of $207,715 per unit represents a 17.1% discount to the 2023+ comparable transaction average of $250,716 per unit and a 25%+ discount to estimated replacement cost of approximately $275,000 per unit for similar new construction in the submarket. Five comparable transactions closed between 2023 and 2025 at cap rates ranging from 4.6% to 5.0%, with per-unit pricing between $234,043 and $275,000. The FWC loan basis sits at the low end of this range, providing a meaningful cushion against valuation risk.

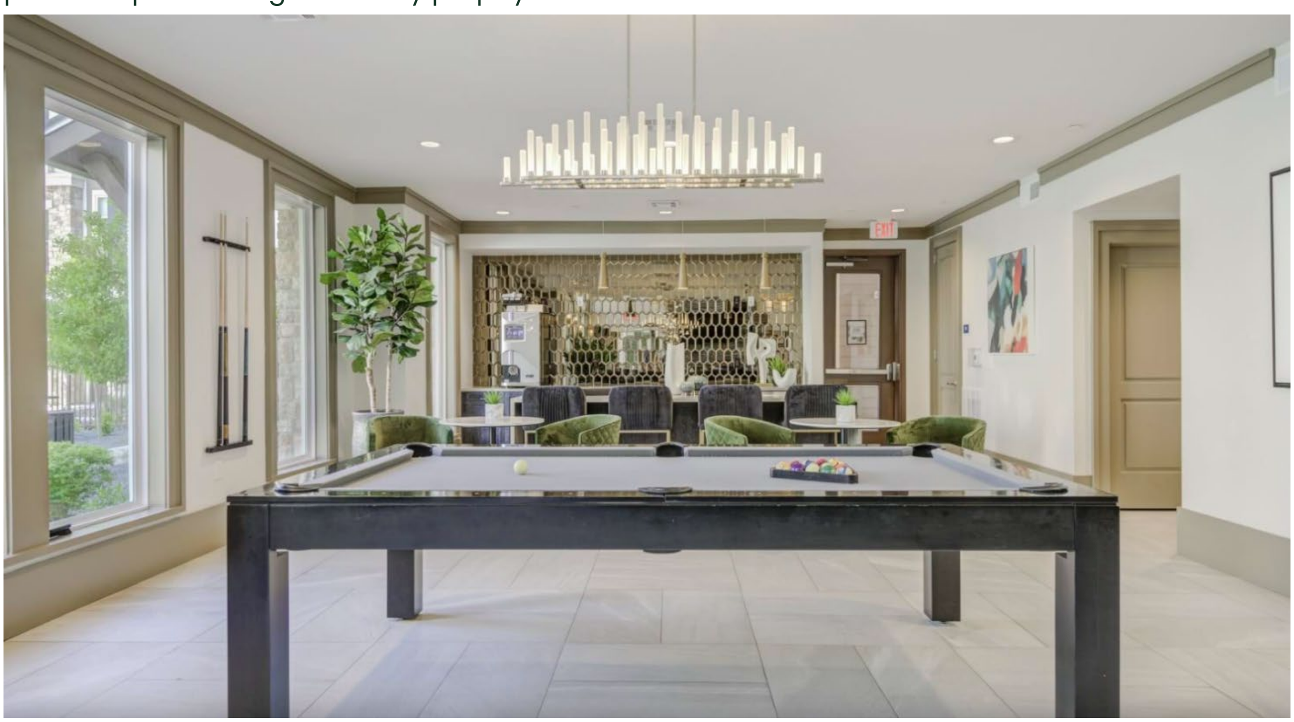
4. Debt Yield Recovery

The in-place debt yield of 5.39% is projected to reach the 6.0% threshold by approximately month 18 through rent reversion alone, without requiring market rent growth. The cumulative NOI lift over the next 15 months is projected at $343,119. Under stabilized scenarios, the property is expected to generate an estimated NOI of $4,511,333 at 50% reversion (5.9% DY), $4,647,262 at the target 75% reversion scenario (6.1% DY), and $4,783,190 at full reversion (6.3% DY).

PROPOSED LOAN STRUCTURE

Term	Detail
Loan Amount	~$76,000,000 (whole loan)
Net Investment	$22,784,172[3]
Max LTV	~89%
Spread	SOFR + 400 bps
Origination Fee	1.00% in / 1.00% out
SOFR Floor	3.25%
Minimum Interest	2 Years
Term	3 + 1 + 1 Year Extensions
PIK Component	Required to avoid significant interest reserve
I/O Period	3 Years
Year 1 Minimum Interest DSCR (I/O)	0.84x
Minimum Interest I/O Payment	$4,852,026

The proposed structure contemplates a senior whole loan with a PIK component to manage cash flow shortfalls during the initial stabilization period. The 3+1+1 year term with two one-year extension options provides sufficient runway for the property to achieve rent stabilization and for the sponsor to execute a refinancing or disposition strategy. The 2-year minimum interest provision protects against early prepayment risk.



[3] Subject to 70% Underlying Leverage

PROPERTY & MARKET OVERVIEW

The Link at Twin Creeks is a 366-unit, Class A garden-style multifamily community constructed in 2021 and situated in Allen, Texas, a premier North Dallas suburb consistently ranked among the fastest-growing cities in the DFW metroplex. The property comprises 350,628 rentable square feet and is managed by Greystar, one of the largest and most reputable multifamily operators in the United States. The asset features modern finishes, resort-style amenities, and benefits from proximity to top-rated schools and major employment centers along the US-75 corridor.

Unit Mix

Unit Type	Units	Avg SF	In-Place Rent	Market Rent	Rent/SF	Loss-to-Lease
1 Bedroom	212	816 SF	$1,500	$1,712	$1.84/SF	12.4%
2 Bedroom	138	1,125 SF	$1,884	$2,118	$1.67/SF	11.0%
3 Bedroom	16	1,415 SF	$2,475	$2,634	$1.75/SF	6.0%
Wtd Average	**366**	**959 SF**	**$1,692**	**$1,909**	**$1.76/SF**	**11.4%**

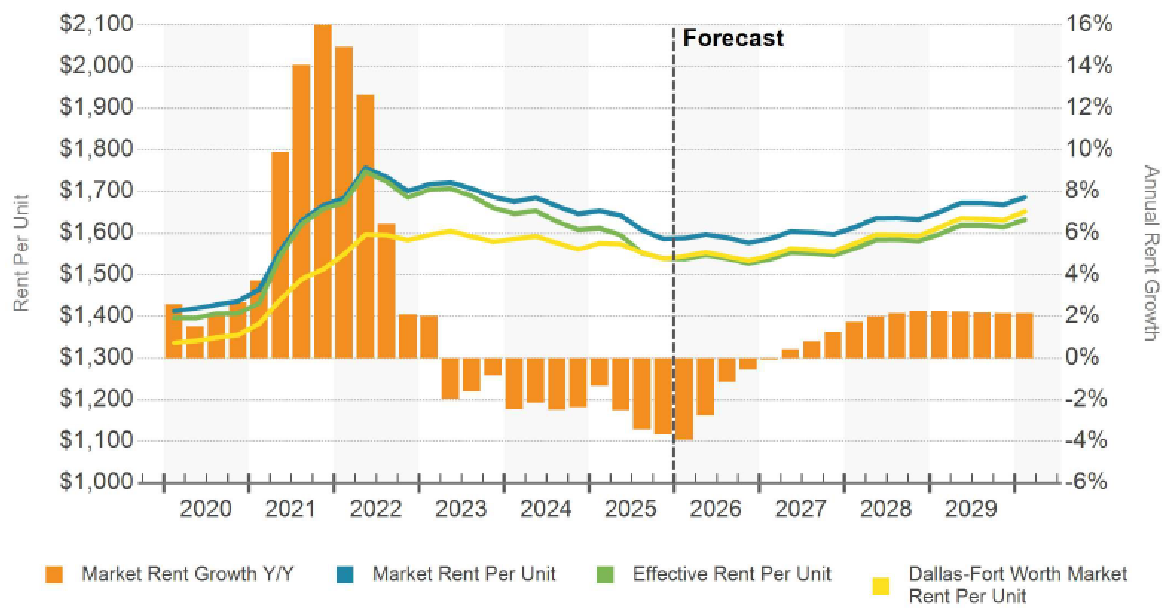
Submarket Metrics

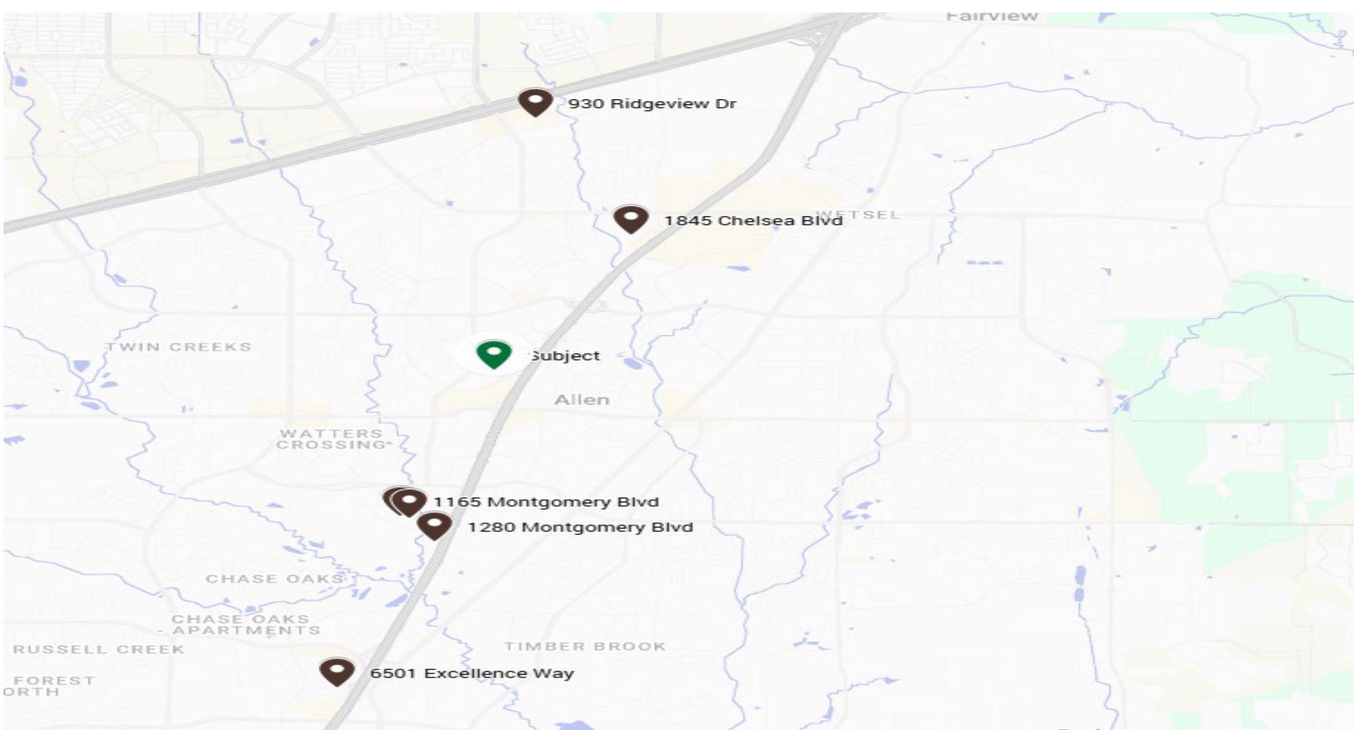
Metric	Current / Forward
Deliveries (Past 8 Qtrs)	2,522 units
Forward Pipeline	325 units (87% decline)
Proposed	0 units
Subject Vacancy	6.60%
Comp Set Vacancy	9.60%
Subject Concessions	2.00%
Leases Rolling (Next 15 mo)	335 units

Submarket Rent Projections

As referenced in the graph from Costar, following outsized rent growth of ~14–16% in 2021–2022, the Allen/DFW multifamily market corrected to roughly -4% to -6% as supply delivered through 2023–2025. Current rents of ~$1,550–$1,600 remain below the ~$1,750–$1,800 peak but are projected to recover gradually to ~$1,650–$1,700 by 2029–2030. A map of comparable multifamily properties delivered since 2019 is also provided below.

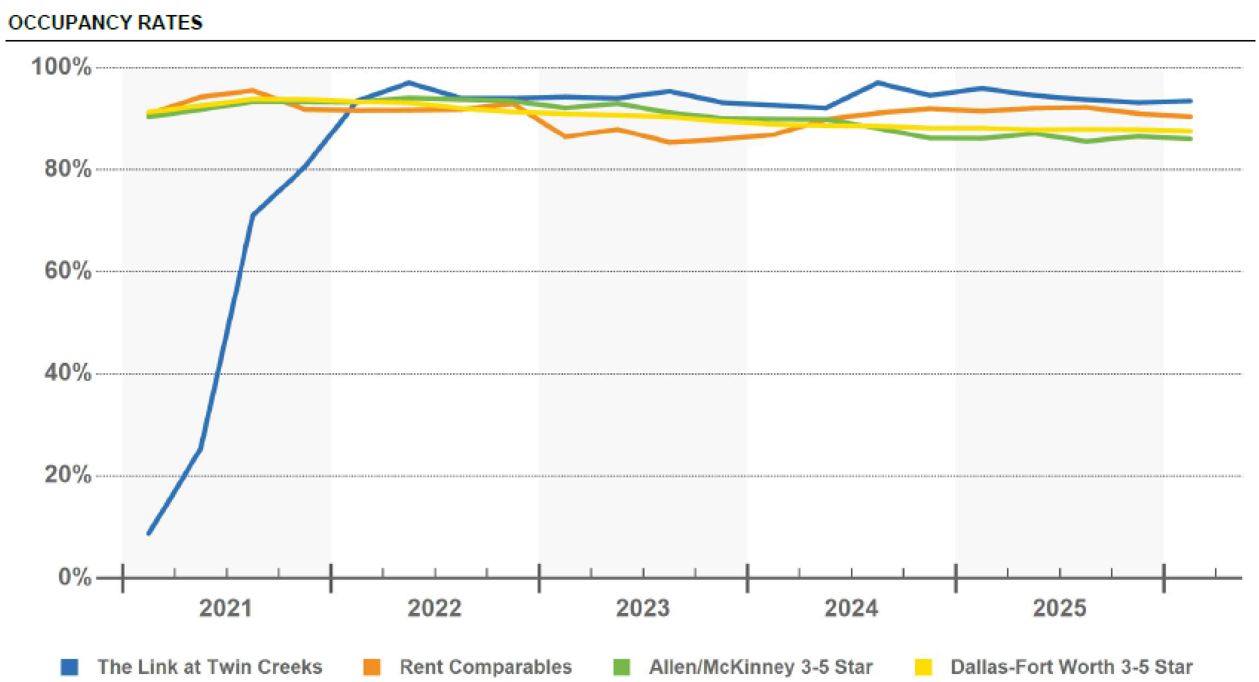
MARKET RENT PER UNIT & RENT GROWTH





Submarket Occupancy

As demonstrated in the CoStar occupancy chart below, The Link at Twin Creeks demonstrated a rapid lease-up trajectory following its 2020 delivery, climbing from near-zero occupancy to stabilized levels in the low-to-mid 90% range by mid-2021, where it has largely remained through early 2026. The subject's current occupancy of approximately 93–94% sits at a modest premium to both its direct rent comparables and the broader submarket benchmarks. Rent comparables have trended in the high-80% to low-90% range over the trailing 12–18 months, reflecting modest softening consistent with elevated new supply across the DFW metroplex. The Allen/McKinney 3–5 Star and Dallas-Fort Worth 3–5 Star indices have both drifted lower since 2022, settling in the 84–87% band as of early 2026 — indicative of submarket-level absorption pressure from the significant multifamily deliveries that have characterized the region over that period. The subject's ability to maintain occupancy above the submarket average suggests relative competitive strength, though the convergence of all four series in the mid-to-upper 80s warrants monitoring given continued supply risk in the Allen/McKinney corridor.



Comparable Transactions (2023+)

Transaction	$/Unit	Discount to FWC	Cap Rate
Aura 3Twenty (Dec 2025)	$250,000	16.9%	4.8%
Kinstead McKinney (May 2025)	$234,043	11.2%	--
The Montgomery (Sep 2023)	$252,027	17.6%	5.0%
Axis at Watters Creek (Jul 2023)	$242,509	14.3%	4.7%
Arise Craig Ranch (Jul 2023)	$275,000	24.5%	4.6%
FWC Loan Basis	**$207,715**	**--**	**--**
2023+ Comp Average	**$250,716**	**17.1%**	**4.7%**

FINANCIAL ANALYSIS

Operating Assumptions

	$/Unit	In-Place	3-Years Trended[4]
Gross Potential Rent	$22,868	$8,369,601	$8,633,351
Other Income	$2,247	$822,492	$839,723
Gross Potential Income	$25,115	$9,192,093	$9,473,074
(-) Vacancy / Credit Loss / Concessions	($4,630)	($1,694,717)	($1,139,384)
Effective Gross Income	**$20,485**	**$7,497,377**	**$8,333,690**

Expenses	$/Unit	In-Place	3-Years Trended
Property Tax	$3,686	$1,349,000	$1,405,839
Payroll & Benefits	$1,859	$680,245	$708,907
R&M	$354	$129,573	$135,033
Make-Ready / Redecorating	$318	$116,266	$121,165
Contract Services	$534	$195,553	$203,792
Advertising / Marketing	$416	$152,320	$158,738
Utilities	$740	$270,861	$282,273
Management Fees	$438	$160,379	$167,137
Insurance	$539	$197,394	$205,711
Other (Office, G&A, Rec, etc.)	$403	$147,430	$153,640
Total Operating Expenses	**$9,287**	**$3,399,021**	**$3,542,235**

Net Operating Income	$/Unit	In-Place	3-Years Trended
Stabilized NOI	**$11,198**	**$4,098,356**	**$4,791,455**
Operating Expense Ratio		45.34%	42.51%

[4] Projections reflect a 3-year trend period assuming: rental revenue growth of 1.5% annually; other income growth of 1.0% annually; loss-to-lease burndown from 11.47% to 5.0% over the projection period; and expense growth of 2.0% annually.

Key Performance Metrics

Metric	Value
Debt Yield (In-Place)	5.39%
Debt Yield (Trended)	6.30%
LTV	89.44%
In-Place DSCR (I/O)	0.71x
In-Place DSCR on Minimum Spread (I/O)	0.84x
All-In Minimum Rate	6.42%
Maximum PIK Spread	1.25%
Total All-In Rate	7.67%

RETURNS & EXIT ANALYSIS

Exit Assumptions - Cap Rate Analysis

Below are projected sales proceeds based on year 3 trended NOI, reflecting a 3-year hold period during which rental revenue grows at 1.5% annually, other income at 1.0% annually, and operating expenses at 2.0% annually, with loss-to-lease burning down from 11.47% to 5.0% over the projection period. Gross sale proceeds are then derived by applying a range of exit cap rates to the stabilized year 3 NOI, providing a sensitivity analysis across varying market conditions at disposition.

Cap Rate	4.75%	5.00%	5.25%	5.50%
Value	$100,872,737	$95,829,100	$91,265,810	$87,117,364

Deal Return Summary

PROFIT	IRR	NET MULTIPLE
$10,571,923	15.30%	1.47x

Back-Leverage Sensitivity Analysis: IRR | MOIC

The following table presents projected returns across a range of back-leverage advance rates and credit spreads. The base case scenario (highlighted) assumes a 70% advance rate at a 175 bps spread, generating a 15.30% IRR and 1.47x MOIC.

Venture Hold	Adv Rate	150 bps	175 bps	200 bps	225 bps
$27,225,866	65%	14.42% | 1.44x	13.93% | 1.43x	13.44% | 1.41x	12.95% | 1.40x
$23,336,456	70%	15.91% | 1.49x	**15.29% | 1.47x**	**14.68% | 1.46x**	14.06% | 1.44x
$19,447,047	75%	17.97% | 1.56x	**17.18% | 1.54x**	**16.38% | 1.51x**	15.60% | 1.49x
$15,557,637	80%	21.03% | 1.66x	19.96% | 1.63x	18.90% | 1.60x	17.85% | 1.57x

Note: Returns assume a 36-month hold, 4.75% exit cap rate, and 2.0% exit closing costs. Back-leverage quotes from direct bank sources indicate sub-200 bps spreads are obtainable at 70-75% advance rates, consistent with the highlighted scenarios.

RISK FACTORS & MITIGANTS

Risk Factor	Assessment	Mitigant
High Leverage (89.4% LTV)	Elevated	Basis is 17.1% below comps and 25%+ below replacement cost; sponsor contributing additional equity
Equity Risk	Moderate	Sponsor purchased at $284K/unit in 2022; willing to write a check to stay in; alignment of interests
Negative Leverage / No I/O DSCR Coverage	Elevated	PIK component avoids large interest reserve; trended NOI supports positive leverage within 18 months as concessions burn off
Cap Rate Sensitivity	Moderate	Recent comps transacting at sub-5.0% caps; FWC basis at 4.75% exit cap provides cushion; Class A assets in growth markets command premium valuations
Low Going-In Debt Yield (5.39%)	Moderate	6.0% DY achievable by month 18 through rent reversion alone; no market rent growth required; 335 leases rolling in next 15 months
PIK Requirement	Moderate	Necessary to avoid significant interest reserve; PIK accrual captured in total all-in rate of 7.6%; mitigated by expected NOI growth
Debt Take-Out Risk	Elevated	Hard to envision full debt take-out with only a first; back-leverage structure provides interim solution; sponsor flexibility on hold period. The addition of a low-leverage mezzanine debt source should comfortably take us out. In any event, our basis is strongly protective.

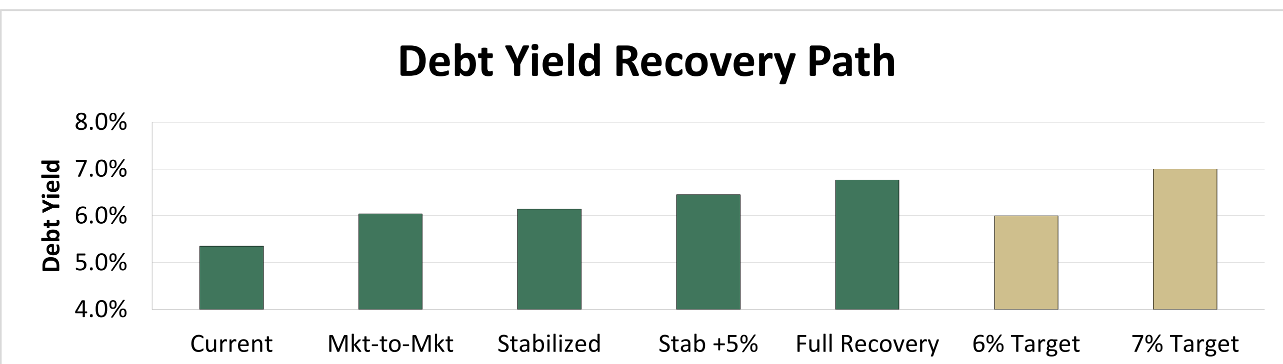
DEBT SERVICE & DEBT YIELD RECOVERY

Current Debt Metrics

Metric	Value
SOFR (Current)	3.67%
Minimum Current Spread	2.75%
All-In Current Rate	6.42%
Annual Cash Debt Service	$4,880,726
DSCR on Current Rate (Yr1 NOI)	0.84x
PIK Spread	1.75%
Total All-In Rate	8.17%

Debt Yield Recovery Timeline (95% Occupancy)

Scenario	Proj. NOI	Debt Yield	LTL (Assumed)
Today (Feb 2026)	$4,098,356	5.4%	11.47%
Year 1 (Proj.)	$4,102,829	5.4%	11.79%
Year 2 (Proj.)	$4,544,262	5.98%	7.20%
Year 3 (Proj.)	$4,791,455	6.31%	5.00%



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